

Monetary Policy Statement

Fiscal Year 2019-20

Bangladesh Bank

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UNITY, a sculpture by Hamiduzzaman Khan
on the Bangladesh Bank premises.

Monetary Policy Statement

Fiscal Year 2019-20

Bangladesh Bank

www.bb.org.bd

Acronyms and Abbreviations

ADP	Annual Development Program
App	Appreciation
BB	Bangladesh Bank
BBS	Bangladesh Bureau of Statistics
bop	Balance of Payments
BSEC	Bangladesh Securities and Exchange Commission
CI	Confidence Interval
CPI	Consumer Price Index
CRR	Cash Reserve Ratio
DC	Domestic Credit
Dep	Depreciation
DSE	Dhaka Stock Exchange
EPB	Export Promotion Bureau
FCB	Foreign Commercial Banks
FDI	Foreign Direct Investment
Fed	Federal Reserve System of the USA
FY	Fiscal Year
GDP	Gross Domestic Product
IMF	International Monetary Fund
IPO	Initial Public Offering
IT	Information Technology
LHS	Left Hand Side
M2	Broad Money
MFI	Micro Finance Institutions
MPS	Monetary Policy Statement
MSME	Micro, Small & Medium Enterprises
NEER	Nominal Effective Exchange Rate
NFA	Net Foreign Assets
NPL	Non Performing Loans
NSC	National Savings Certificates
PCB	Private Commercial Banks
QE	Quantitative Easing
REER	Real Effective Exchange Rate
RHS	Right Hand Side
RM	Reserve Money
SARTTAC	South Asia Regional Training and Technical Assistance Center
SB	Specialized Banks
SCB	State-owned Commercial Banks
SLR	Statutory Liquidity Ratio
USD	United States Dollar
VAT	Value Added Tax
WEO	World Economic Outlook
y-o-y	Year on Year

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Highlights

- The two key monetary policy objectives (inflation containment within targeted ceiling and supporting attainment of targeted real GDP growth) were well achieved in FY19 (July 2018-June 2019); with end June 2019 CPI inflation at 5.47 percent (below the targeted 5.60 percent ceiling), and strong 8.13 percent real GDP growth (against target of 7.80 percent). The urgency of narrowing the sudden spiking (3.2 percent of GDP) in FY18 bop current account deficit was also handled successfully (1.7 percent of GDP in FY19). Policy actions in FY19 also eased off lingering stresses from the FY18 liquidity crunch in private sector banks, restoring full normalcy in interbank Taka and USD money markets.
- FY19 growth in broad money, domestic credit and its private sector component moved along programmed directions but with significantly lower trajectories, in close alignment with those in other fast growing East Asian and South Asian economies. Attainment of high real GDP growth with moderating broad money and domestic credit growth indicates a welcome decline in frothiness of unproductive dubious quality lending in the domestic credit market, signifying turn towards maturation of the credit market in its role more typical of middle income economies.
- Even as headline 12-month average CPI inflation was declining in FY19, its 'core' (non-food, non-energy) component crept up to 5.48 percent by June 2019; BB's in-house projections and public perception revealed in quarterly inflation expectation surveys signify persistence of inflationary pressure, leaving no room for complacency.
- In this context, BB's FY20 monetary policy stance and monetary program will as always cautiously accommodate monetary and credit expansion needs of all productive pursuits for attaining the FY20 real GDP growth target of 8.2 percent while also keeping CPI inflation contained within the targeted ceiling of 5.5 percent.
- As always, BB will in FY20 be closely monitoring both magnitude and direction of credit flows to diverse sectors and subsectors of the economy, and continue promotion and support for inclusive, adequate credit flows to under-served sectors/niches promising for job creation in productive pursuits. Priority of green transition of output practices for environmental sustainability will also continue to be in focus. BB's refinance support lines for promotion of these priorities in lending will be replenished and expanded as necessary, within the monetary and credit expansion envelope of FY20 monetary program.
- Risk factors to attainment of FY20 monetary program objectives will be closely monitored and addressed if and when the need arises.

Monetary Policy Statement: Fiscal Year 2019-20

1. Foreword

This FY20 issue of Bangladesh Bank's (BB's) Monetary Policy Statement (MPS) announces the monetary policy stance and monetary program that BB will pursue during July 2019-June 2020, subject to such mid-course modifications in policy rates and statutory cash reserve & liquidity ratios as found necessary. As usual, drafting of this issue of MPS under strategic guidance of BB's Board of Directors was preceded by stakeholder consultation rounds with senior level former and current policymakers, analysts from think-tanks and academia, leaders of real and financial sector business forums.

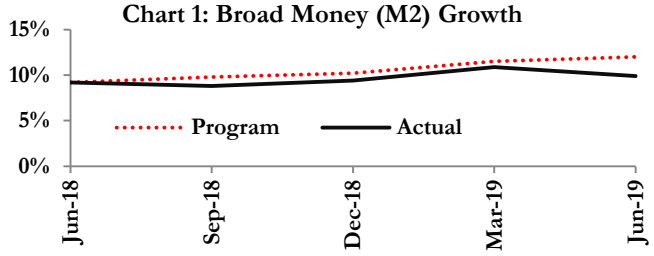
2. Brief look back at FY19 monetary policy objectives vis-à-vis outcomes

Both the key FY19 monetary program objectives, viz., bringing down annual average CPI inflation to 5.60 percent by end June 2019, from 5.78 percent of end June 2018, and supporting attainment of government's 7.80 percent real GDP growth target for FY19 stood over-fulfilled; with end June CPI inflation at 5.47 percent and 8.13 percent FY19 real GDP growth estimated by BBS.

Reining in of the sharply spiking FY18 bop current account deficit (3.2 percent of GDP) to a sustainable lower level was another urgency successfully handled by FY19 monetary policy stance and monetary program. Support measures for overcoming flood-related setbacks in food crop output, slow but steady Taka depreciation, stricter monitoring on compliance with macro prudential advance-deposit ratios for banks, and declining inflation worked together well in moderating import demand pressure and boosting FDI and workers' remittance inflows; narrowing down the bop current account deficit to about 1.7 percent of GDP by end June 2019, with attendant 2.2 percent *rise* in NFA against program projection of (-)3.4 percent.

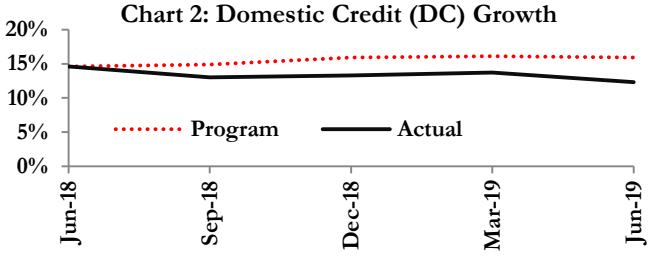
Liquidity tightening from spiking FY18 bop current account deficit and attendant sharp NFA depletion spilled over into FY19, but the improving bop outcomes and NFA growth recovery brought with the above mentioned policy measures eased liquidity crunch in both Taka and USD interbank markets, restoring full normalcy by Q4 FY19, now needing little or no day-to-day market intervention by BB.

Chart 1: Broad Money (M2) Growth



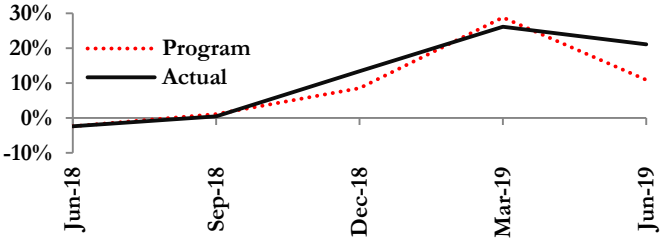
Source: Bangladesh Bank

Chart 2: Domestic Credit (DC) Growth



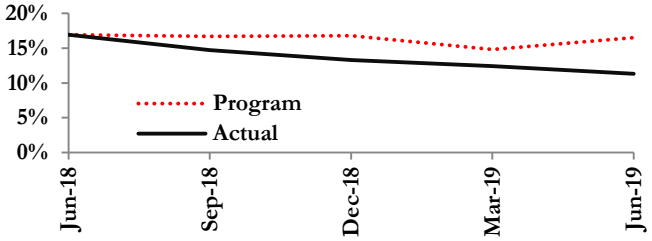
Source: Bangladesh Bank

Chart 3: Public Sector Credit Growth



Source: Bangladesh Bank

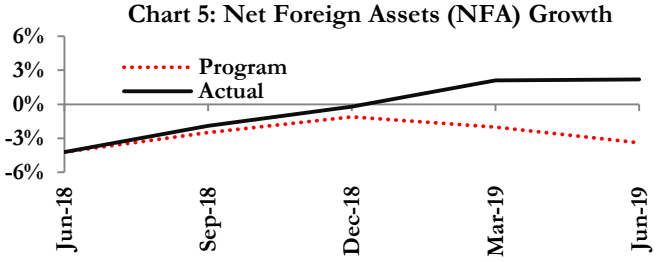
Chart 4: Private Sector Credit Growth



Source: Bangladesh Bank

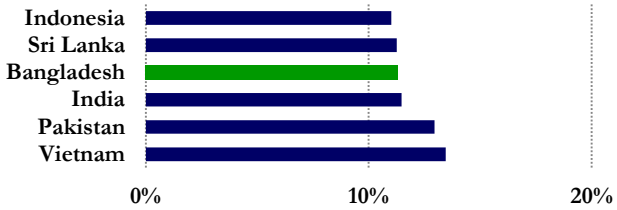
The charts at page 3 plot actual growth paths of major monetary aggregates in FY19 vis-à-vis their program paths. Both broad money (M2) and domestic credit (DC) are seen to have moved roughly along their programmed directions but at markedly slower than programmed growth pace. The private and public sector components of domestic credit have likewise both moved along the programmed direction, but at markedly slower than programmed growth pace in case of private sector, and substantially higher than programmed growth pace in the fourth quarter of FY19 in case of public sector. High public sector borrowing in the last quarter of fiscal year for ADP implementation related expenditure is however not unusual.

Chart 5: Net Foreign Assets (NFA) Growth



Source: Bangladesh Bank

Chart 6: Cross-Country Comparison of Private Sector Credit Growth



Source: Respective Central Banks' Websites, Latest Available Data

Actual growth path of net foreign assets (NFA) is seen to have diverged significantly (Chart 5) both in direction and growth pace from the program projection particularly since February 2019, recovering to positive growth trend against program projection of continuing decline, due to aforementioned faster than projected narrowing of bop current account deficit. Given that the moderating growth pace of broad money and domestic credit posed no hindrance to attainment of high 8.13 percent real GDP growth (by some estimates close to the economy's output potential); this moderation in growth trends of money and credit growth is arguably indicative of a welcome decline in frothiness of domestic credit markets created by over-exuberant engagement of some banks in lending of dubious quality eventually ending up as non-performing loan burdens. This moderation brings the pace of Bangladesh's money and credit growth in closer alignment with those in other fast growing South Asian and East Asian emerging market/developing economies (Chart 6).

3. Overview of the global and local contexts of monetary policy stance for FY20

3.1. Global growth, inflation, and interest rate outlook

Table 1 shows IMF's near term projections for global GDP growth and its breakup by major advanced and emerging market/developing country groups. These projections of lower single digit growth

Table 1: Overview of the GDP growth as per WEO

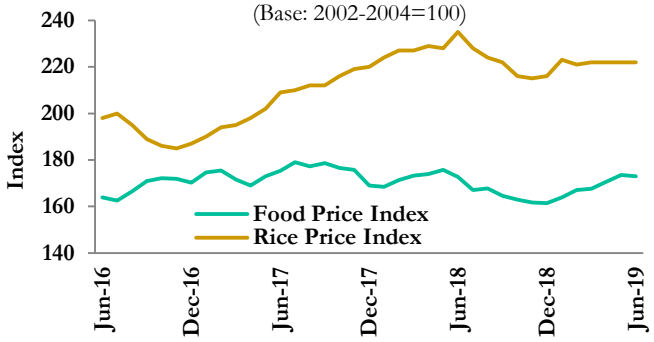
Region	Growth				Difference from April 2019 WEO Projections	
	Actual		Projections			
	2017	2018	2019	2020	2019	2020
World	**3.8**	**3.6**	**3.2**	**3.5**	**-0.1**	**-0.1**
Advanced Economies	2.4	2.2	1.9	1.7	0.1	0.0
USA	2.2	2.9	2.6	1.9	0.3	0.0
Euro Area	2.4	1.9	1.3	1.6	0.0	0.1
Other Advanced Economies	2.9	2.6	2.1	2.4	-0.1	-0.1
Emerging Market and Developing Economies	4.8	4.5	4.1	4.7	-0.3	-0.1
China	6.8	6.6	6.2	6.0	-0.1	-0.1
India	7.2	6.8	7.0	7.2	-0.3	-0.3

Source: World Economic Outlook (July, 2019), International Monetary Fund

rates for advanced economies and higher single digit growth rates for emerging market/developing country groups undergo small changes in biannual revisions, with overall global growth projections little changed at levels below four percent. Trade disputes fuelled by backlash against failings of globalization and geopolitical tensions fuelled by populist politics add up to enough near term uncertainties to leave much optimism about any major near term pick up in global growth. For fast growing developing economies like Bangladesh the uncertainties from trade disputes of major economies also provide ample opportunities for upholding and further bolstering GDP growth with timely and appropriate adaptations in their own trade and investment promotion approaches.

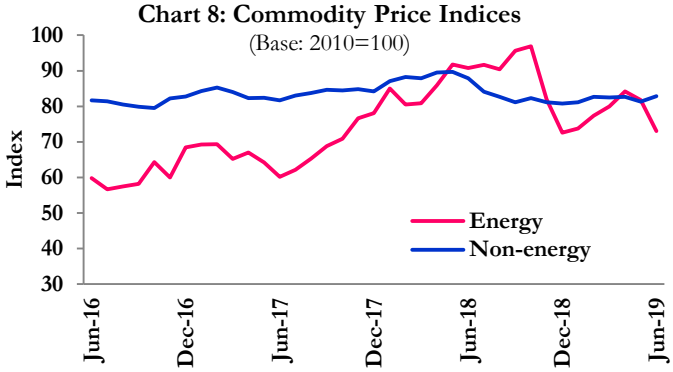
Global food and non-food commodity price trends since June 2016 are plotted in Charts 7 and 8 below; broadly depicting price stability in both groups but with somewhat higher volatility in price trends of energy and rice. Recent energy prices are seen to be lately in downward trend, and Bangladesh doesn't need much of rice import except in occasional flood or other adverse weather related major crop losses. Global commodity price trends do not therefore pose significant near term risk for domestic price inflation in Bangladesh.

Chart 7: Food and Rice Price Indices



Source: Food and Agriculture Organization of the United Nations

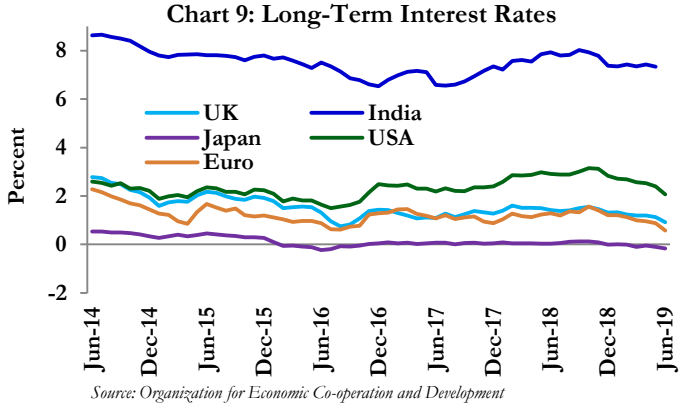
Chart 8: Commodity Price Indices



Source: World Bank

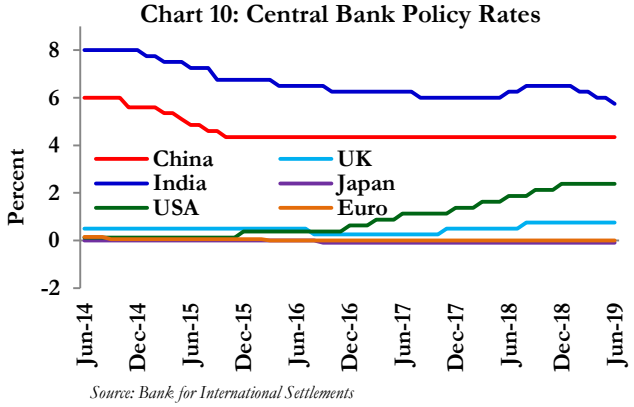
Chart 9 plots long-term interest rates in advanced economies USA, UK, Euro zone, Japan, and an emerging market economy India. The dichotomy of low/very low long term interest rates in advanced economies and relatively higher interest rates in moderate inflation emerging market economies seen here is fairly representative of the broader global picture.

Chart 9: Long-Term Interest Rates



Source: Organization for Economic Co-operation and Development

Chart 10: Central Bank Policy Rates



Source: Bank for International Settlements

The US Fed and other advanced economy central banks began normalization of their post global financial crisis spells of very low policy interest rates and liquidity infusion by QE. The Fed began creeping rise in policy rates in December 2015, continuing till December 2018 (Chart 10); but in absence of significant inflationary pressure market sentiments have since reacted adversely to stall further rise, and

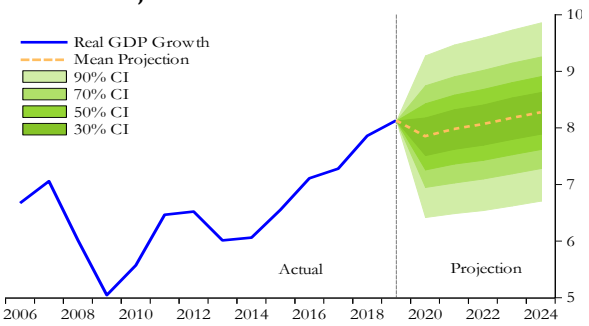
some extent of reversal instead is reportedly imminent. The consequent easing of near term risks of rising debt service costs on external borrowing is a positive for business investment sentiment in Bangladesh.

3.2. Domestic growth and inflation outlook

Robust growth momentum continues in the Bangladesh economy amid tepid global growth environment, with 8.13 percent real GDP growth estimated by BBS for FY19 against global growth projection averaging 4.1 percent for 2019 in emerging market and developing economies (Table 1). The strong 8.13 percent FY19 real GDP growth was broad based across economic sectors, supported both by strong domestic demand and by external demand reflected in 10.5 percent export growth.

BB staff estimates, presuming stable global and domestic economic environment, project the current robust growth momentum in Bangladesh economy to continue through 2024 (Chart 11). The projections look plausible given that a number of large ongoing infrastructure projects will be operational over the projection period, adding substantial new output capacity to attract new domestic and external investments in output initiatives.

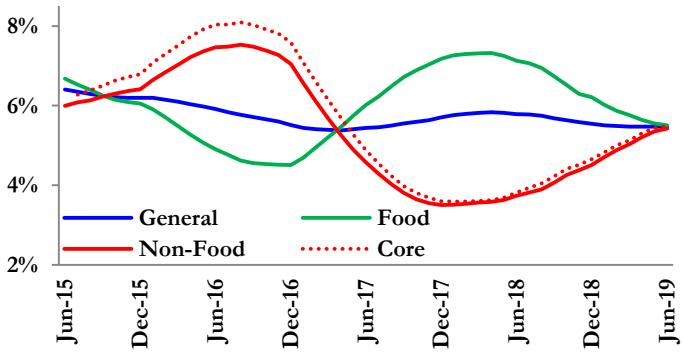
Chart 11: Projection of GDP Growth for FY20-FY24



Source: Bangladesh Bank Staff Projection

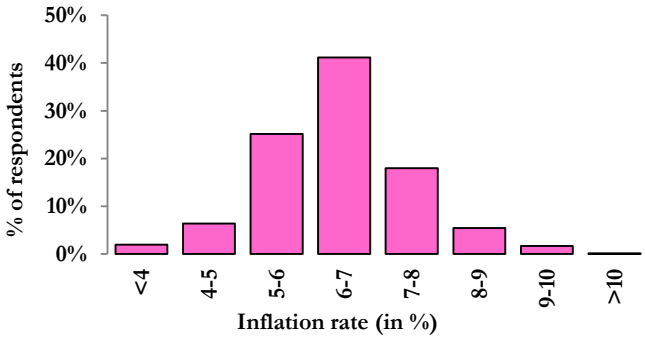
Chart 12 plots Bangladesh's trends of the food, non-food and 'core' (non-food, non energy) components of general (12 month average) CPI inflation since June 2015, using BBS data. With low volatility, the general CPI inflation has edged down to 5.47 percent in June 2019, well below the targeted 5.60 percent ceiling. The food and non-food components of CPI inflation are seen in the chart to be moving in negative correlation. While the overall general CPI inflation remains stable below the targeted ceiling, its non-food, non energy 'core' component kept rising steadily to 5.48 percent in June 2019, indicating rising inflationary pressure.

Chart 12: Twelve Month Average Inflation



Source: Bangladesh Bureau of Statistics

Chart 13 : Distribution of Inflation Expectation*



* One year ahead general inflation

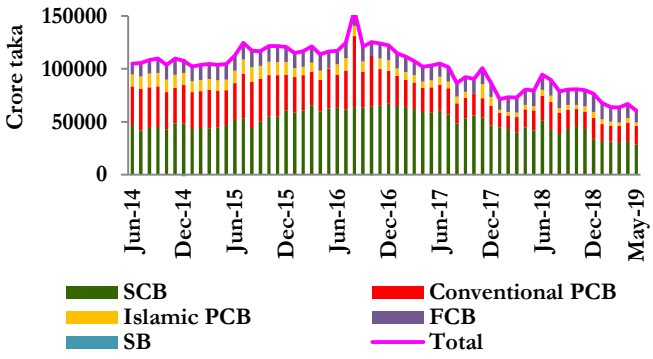
Source: BB inflation expectations survey, June 2019

Results of BB's quarterly inflation expectation surveys (Chart 13) likewise also bring out public perception of rising price pressure over the near term. Inflationary pressures during spells of high and rising GDP growth are quite natural with available factors of production all running at or around capacity levels. There is also risk of some crop loss driven further increase in inflationary pressure in FY20 if the monsoon floods now inundating sizeable areas in Bangladesh prolong or recur, leaving no room for let up in BB's vigilance on price stability.

Some think-tank analysts have voiced doubt about plausibility of perfect negative correlation between food and non-food inflation with movements mirroring each other as seen in Chart 12 wondering if measurement bias has somehow crept in at source. The issue merits in-depth look.

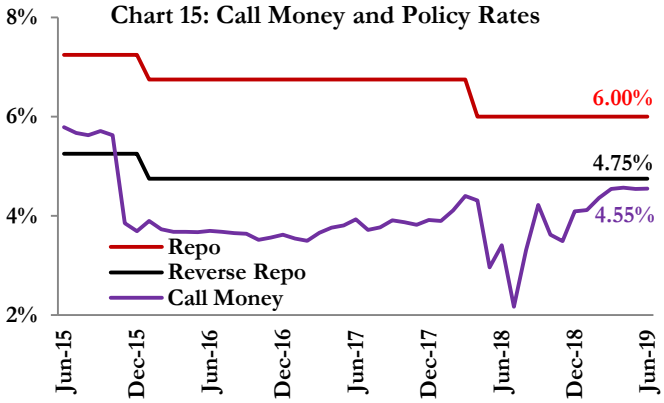
3.3. Fund flows, fund costs, and related issues in money and credit markets

Chart 14: Excess (above CRR and SLR) Liquid Assets



Source: Bangladesh Bank

Chart 15: Call Money and Policy Rates

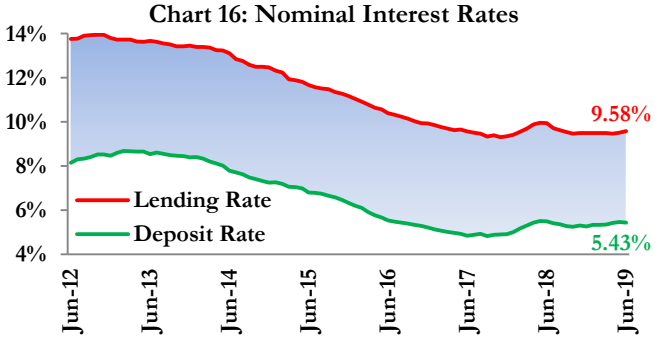


Source: Bangladesh Bank

Money market liquidity and interest rate trends: Charts 14 and 15 depict trends of surplus liquidity (liquid assets in excess of CRR and SLR), and of weighted average overnight interest rates in interbank money market. Overall surplus liquidity is seen to be broadly stable, displaying only moderate variability; declining surplus towards the end of FY19 largely accounted for by ADP implementation related bank borrowing of the government typically bunching up towards end of fiscal year. The broadly stable liquidity situation is reflected in limited volatility in weighted average overnight interest rate, seldom going above BB's Repo policy interest rate. However, the broad stability in overall weighted average of overnight rates of all banks masks substantial bank-by-bank variations. Private sector banks complain of difficulty in competing for deposits at affordable costs because of government's National Savings Scheme instruments bearing high non-market yields siphoning away savings of households. Public sector banks do not face as much hardship in this respect because of their greater access to low cost government deposits. Taking due note of this issue the government has already introduced some modifications in NSC issuance procedures, awaiting positive results to emerge soon.

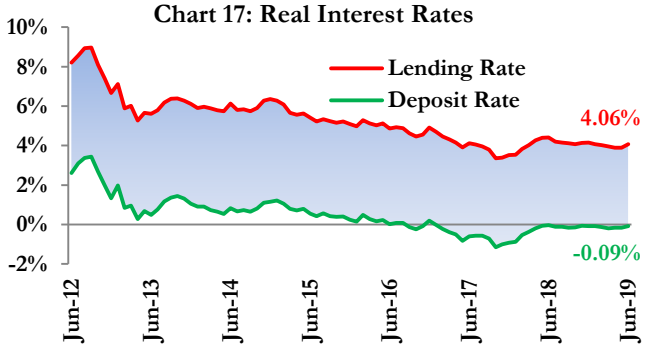
Trends of deposit and lending interest rates - intermediation efficiency:

Chart 16: Nominal Interest Rates



Source: Bangladesh Bank

Chart 17: Real Interest Rates



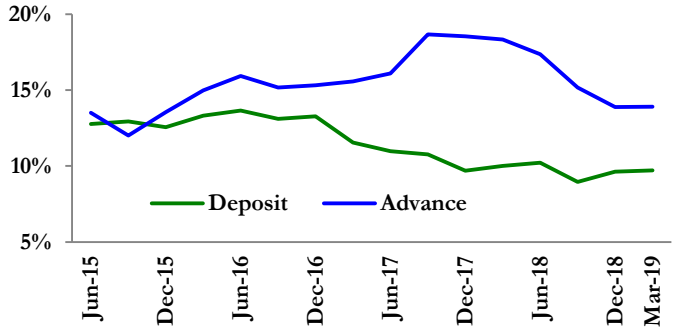
Source: Bangladesh Bank

Charts 16 and 17 plots the trend of weighted average lending and deposit interest rates of all scheduled banks taken together, in nominal and real terms. Width of the spread between the two weighted averages is viewed as a measure of intermediation efficiency.

Both lending and deposit interest rates are seen in the charts to be in declining trend, as is to be expected in environment of declining inflation. The intermediation spread between the two has however narrowed only slightly, indicating insignificant efficiency gain, limited competitive behavior in the banking sector, or both. High non-performing loan (NPL) burdens cited as reason for downward stickiness of lending interest rates is itself an outcome of poor intermediation efficiency. Taking proactive recourse to bankruptcy proceedings (like in India) may prove to be the most effective option for banks in bringing down NPLs, with the fear of losing control of the bankrupt's own business to a court appointed receiver acting as potent deterrent of willful repayment default.

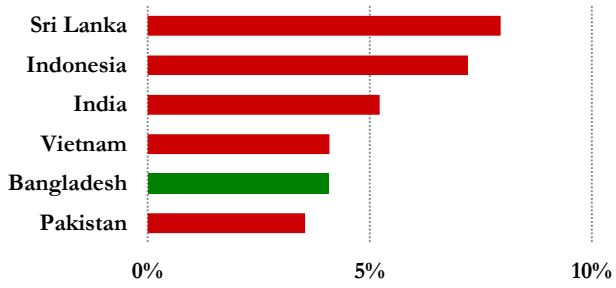
Chart 17 shows lending and deposit interest rates in real (constant price) terms brings out that deposit interest rates are hovering in the negative territory in recent years, making bank deposits unattractive for savers looking for reasonable returns. Bank deposit growth rate is as a result lagging behind growth rate of advances (Chart 18). Intermediation efficiency gains of narrowing intermediation spread need therefore to come from competitiveness both in lowering lending interest rates and in raising deposit interest rates.

Chart 18: Trends of Growth on Deposits & Advances



Source: Bangladesh Bank

Chart 19: Cross-Country Comparison of Real Lending Rate

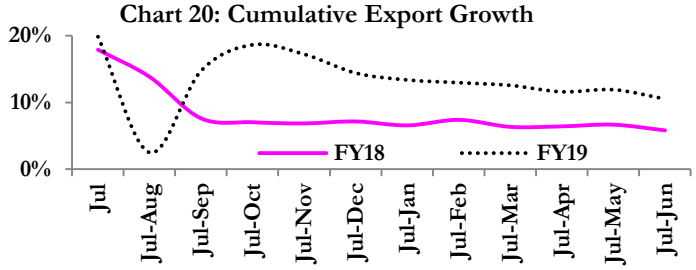


Source: Respective Central Banks' Websites, Latest Available Data

Chart 17 also shows that weighted average lending interest rates in Bangladesh are in lower single digits in real terms, and Chart 19 shows this to be also lower than in most of our regional neighbors including India.

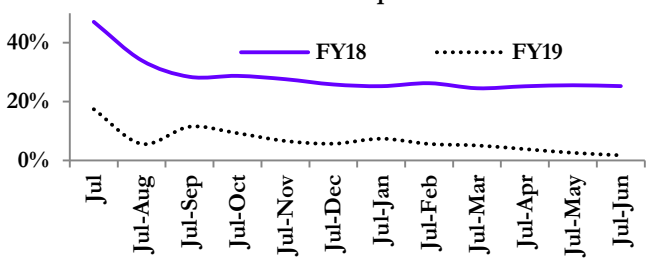
3.4. Overview of trends in external sector accounts

Chart 20: Cumulative Export Growth



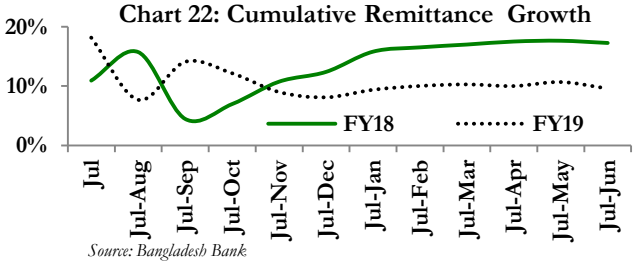
Source: Bangladesh Bank

Chart 21: Cumulative Import Growth



Source: Bangladesh Bank

Chart 22: Cumulative Remittance Growth



Source: Bangladesh Bank

Charts 20, 21, and 22 show growth paths of export, import, and workers' remittance inflows in FY18 and FY19. The unusually high FY18 import growth (due to some megaprojects related need and rice import to cover crop loss in flood) came down to normalcy in FY19, while both exports and workers' remittance inflows rose higher in FY19 than in preceding FY18.

As a result, bop current account deficit narrowed substantially in FY19, with attendant improvement in bop overall balance (Table 2).

Table 2: Balance of Payments Highlights

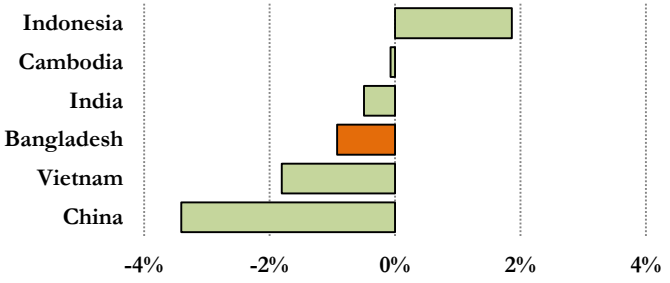
(In million USD)

Major Items	Actual		Provisional	Outlook
	2016-17	2017-18	2018-19	2019-20
Trade balance	-9472	-18178	-15509	-15275
Services	-3288	-3609	-3586	-4687
Primary income	-1870	-2479	-3074	-3353
Secondary income	13299	15453	16883	18740
of which: Workers' remittances	12769	14982	16420	18390
CURRENT ACCOUNT BALANCE	**-1331**	**-8813**	**-5286**	**-4574**
Capital account	400	331	233	300
Financial account	4247	8273	5642	4374
Errors and omissions	-147	-648	-577	0
OVERALL BALANCE	**3169**	**-857**	**12**	**100**
Memorandum item:				
Gross official reserves	33493	32943	32550	32750

Source: Bangladesh Bank, EPB and Ministry of Finance

Exchange rate of Taka against intervention currency USD responded flexibly to changing bop pressures, depreciating by 0.92 percent since June 2018 (Chart 23), but by less than needed for full correction of overvaluation (Chart 24); at the cost of some depletion in foreign exchange reserves seen at Table 2.

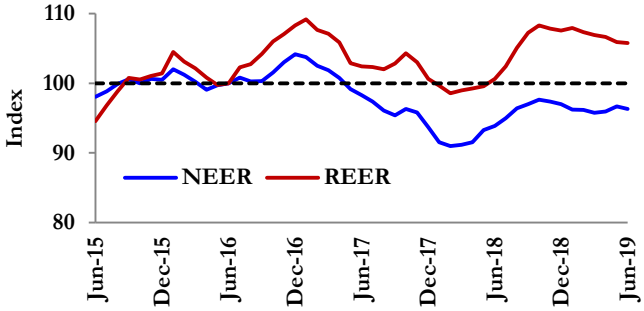
Chart 23: App(+)/Dep(-) of Domestic Currency against USD in FY19



Sources: Respective Central Banks' Websites

Chart 24: Effective Exchange Rate Indices

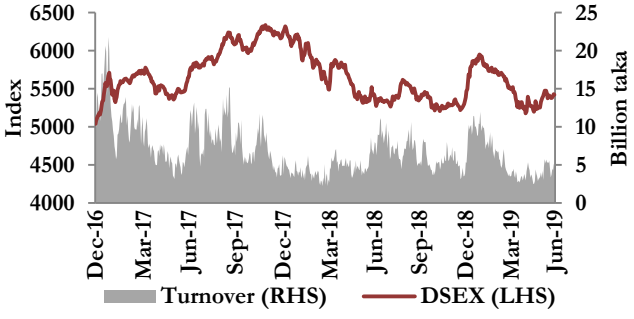
(Base: 2015-16=100)



Source: Bangladesh Bank

3.5. Overview of capital market developments

Chart 25: DSEX and Turnover



Source: Dhaka Stock Exchange

Chart 25 shows DSE broad index (DSEX) remaining little changed by end FY19 from its level at end FY18 amid usual day to day turnover variability. Trading volumes remained stuck at low levels, with occasional episodes of trading coming almost to halt. As always, BB proactively acted together with the sector regulator BSEC and the Ministry of Finance in helping overcome such emergency situations. However, a lasting solution lies less in temporary fixes of forcing secondary transactions in a mixed bag of older issues

of varying quality, than in lining up and maintaining healthy inflow of correctly priced new IPOs of well managed corporates. Recent changes in IPO rules introduced by BSEC to that end need to be implemented with firm will, overcoming manipulation of market information.

Promotion of corporate bond issuance for raising medium and long-term finance and activation of market in corporate bonds are priorities flagged in BB's earlier MPS issues, and is now also a declared priority of the government. Successful pursuit of these objectives can be expected to contribute richly over the near to medium term to capital market development, by adding to it a whole new dimension.

4. Monetary policy stance and monetary program for FY20, policy rates, CRR, and SLR

4.1. Monetary policy stance

The monetary policy stance and monetary program for FY20 have been drawn up in the global and domestic economic context recapitulated in preceding section 3, with dual objective of maintaining price stability and supporting inclusive, equitable and environmentally sustainable job rich economic growth in tune with the government's strategies and goals for sustainable growth and development. The monetary policy stance for FY20 also take due note of Bangladesh's maturation as a fast growing developing economy pursuing soonest possible graduation to upper middle income country status. BB's sector specific financing support policies and programs will be adjusted where necessary to fit in with the framework of FY20 monetary program.

As customary, the FY20 monetary program is based on the 8.2 percent real GDP growth and 5.5 percent CPI inflation ceiling targets declared for FY20 in the national budget, as these targets were adopted in consultative process participated by BB. Arithmetic sum of the targets of real GDP growth rate and inflation ceiling constitutes the target rate for nominal GDP growth. BB's annual monetary programs make adequate room for money and credit growth for attaining the targeted nominal GDP growth, appropriately adjusted to take account of any change in money velocity. Broad money (M2) growth is used as intermediate target through which to influence and limit price movements within the targeted inflation ceiling. Movements of M2 are in turn influenced through changes in supply of reserve money (RM) from BB; aided further by changes in BB's Repo and Reverse Repo interest rates, cash reserve ratio (CRR), and statutory liquidity ratio (SLR) for use as auxiliary instruments if and when needed. Monetary accommodation much in excess of reasonable need for growth target attainment has to be avoided so as not to impair attainment of the targeted inflation containment. *BB's monetary policy stance and monetary program for FY20 based on these considerations accordingly are cautiously but fully accommodative for all growth support needs without impairing attainment of the targeted inflation containment.*

4.2. FY20 monetary program

Table 3: Key Monetary and Credit Programs

(y-o-y growth in%)

Item	Actual			Program	
	Jun-18	Dec-18	Jun-19	Dec-19	Jun-20
Net Foreign Assets*	-4.2	-0.3	2.2	2.0	0.3
Net Domestic Assets	14.3	12.7	12.3	14.1	16.0
Domestic Credit	14.6	13.3	12.3	14.5	15.9
Credit to the public sector	-2.4	13.4	21.1	25.2	24.3
Credit to the private sector	16.9	13.3	11.3	13.2	14.8
Broad money	**9.2**	**9.4**	**9.9**	**11.3**	**12.5**
Reserve money	**4.0**	**8.2**	**5.3**	**9.8**	**12.0**

* At constant exchange rates of end June 2019. *Source: Bangladesh Bank*

Table 3 summarizes the projected quarterly movements of growth rates of key monetary and credit aggregates of BB's FY20 monetary program. Annual broad money (M2) growth consistent with the targeted FY20 real GDP growth and CPI inflation ceiling is estimated at 12.5 percent, which will accommodate domestic credit growth of 15.9 percent. Based on trends of recent past, the public and private sectors will use this room for domestic credit growth to estimated extents respectively of 24.3 and 14.8 percent growth in credit to the two sectors. Credit growth projected for the public sector looks much bigger than for the private sector because of the later's much bigger (7.3 times) absolute size. Net foreign asset (NFA) growth is projected to remain in positive in FY20, but lower than at end June FY19, consistent with projections of FY20 bop outcomes.

4.3. Policy interest rates, CRR, and SLR

In 2018 private sector banks and financial institutions faced substantial liquidity stress from household savings in bank deposit accounts being lured away into National Savings Scheme instruments bearing high non-market yields. High import growth that year also created stress in the interbank foreign exchange market, requiring BB's USD sales to banks, which further depleted their Taka liquidity. The state owned banks suffered less of liquidity stress because of their greater access to public sector deposits. BB stepped in to address the Taka liquidity stresses with measures including a 1.00 percentage point lowering of CRR from 6.50 to 5.50 percent of total time and demand liabilities. Bop current account deficit narrowed substantially in FY19, relieving stresses in the foreign exchange market; and the government has also taken up reform measures in the NSC scheme.

As of now both Taka and foreign exchange interbank are at ease, with banks no longer asking for day to day BB intervention. With markets in comfortable balance and with the economy running at full steam at sustained high growth rate, no easing in policy rates is advisable or necessary. This is not to say however that sporadic pockets of liquidity stress do not or cannot emerge occasionally in one weak bank or another; but these situations can be best handled on case by case basis as and when needed.

It will be pertinent to mention here that BB is proceeding with preparatory work for adopting a policy interest rate focused monetary policy regime in which changes in policy interest rates exert direct impact on prices in the financial and real sectors, rather than indirectly through a monetary aggregate (broad money) as in the policy regime now in use. The interest rate based regime is in extensive use in the middle income and advanced economies. Properly implemented, the new regime is expected to quicken and heighten efficiency in transmission of intentions of monetary policies. IMF SARTTAC is extending technical assistance in BB's ongoing preparatory work.

5. Quality dimension of BB's growth support objective – some new priorities

BB maintains a good number of refinance lines supporting lending for productive pursuits in various underserved economic sectors and population segments, solely with BB funds or in participation with development partners. Besides magnitude of incremental growth, BB's focus in growth support pursuits are also on such quality dimensions as inclusivity, job creation, and environmental sustainability. In the past MPS issues BB flagged unattended gaps in social and financial inclusion of neglected niches of economic activities and livelihoods of neglected population segments meriting focused attention of BB itself or of other relevant quarters, most of those known to benefit from varying degrees of eventual new attention.

The vast expanse of the country's uncharted informal economy is one area where coordinated new thrust of efforts of BB, banks, mobile phone/smart card based payment service providers can draw the self

employed individuals, MSMEs, micro merchants and others in the informal sector into bank accounts in the formal economy for deposit, borrowing and other banking services accessed through their mobile accounts/smart cards; relieving them hugely from high cost services of MFIs and money lenders. Countrywide IT network infrastructure needed for connectivity between bank accounts and the mobile phone accounts are already in place; and substantial progress should be possible over the near term if the initiative is pursued in right earnest.

6. Potential risk factors for attainment of FY20 monetary program objectives

A couple of near term domestic risk factors loom over to fully or partly impair attainment of FY20 program objectives. Recent upward revision of fuel gas prices and new VAT law implementation has already imparted some impact on prices in the beginning of FY20, the lingering effect over the coming month remains to be seen. If the monsoon flood now engulfing wide expanses of the country prolongs or recurs, agricultural output losses can be significant. Ongoing trade war and geopolitical tensions are uncertainties in the external front that may or may not impair attainment of BB's FY20 monetary program outcomes.

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Published by : G.M. Abul Kalam Azad, General Manager, Department of Communications and Publications,
Bangladesh Bank, Head Office, Motijheel, Dhaka-1000, Bangladesh
Printed by : Olympic Products Printing & Packaging, 165, Arambagh, Dhaka-1000.

DCP-07-2019-1000